



The Board of Directors of NIC Bank Limited is pleased to announce the Un-audited financial results of the Group and Bank for the period ended 31st March, 2013.

STATEMENT OF FINANCIAL POSITION

	31st Mar, 2013 Un-audited Shs '000	Group 31st Dec, 2012 Audited Shs '000	31st Mar, 2012 Un-audited Shs '000	31st Mar, 2013 Un-audited Shs '000	Bank 31st Dec, 2012 Audited Shs '000	31st Mar, 2012 Un-audited Shs '000
ASSETS						
Cash (both Local & Foreign)	1,011,404	1,081,131	851,670	692,444	830,855	647,683
Balances due from Central Banks	6,072,434	5,969,831	6,387,782	5,392,110	5,132,414	5,456,417
Kenyan Government securities held for dealing purposes	-	-	-	-	-	-
Financial assets at fair value through profit & loss	159,065	138,509	240,642	-	-	-
Investment Securities:						
a) Held to Maturity						
a. Kenya Government Securities	4,588,247	9,194,971	3,080,190	4,588,247	9,194,971	3,080,190
b. Other Securities	1,791,684	1,146,224	353,033	-	-	-
b) Available for sale:						
a. Kenya Government Securities	10,289,659	7,027,460	4,459,663	10,289,659	7,027,460	4,700,305
b. Other Securities	218,513	214,999	25,507	-	-	-
Deposits and balances due from local banking institutions	1,956,464	2,205,888	4,814,556	1,133,500	586,836	4,003,622
Deposits and balances due from banking institutions abroad	2,587,310	5,983,128	4,885,282	2,499,845	5,983,128	3,449,947
Tax recoverable	35,732	17,860	11,022	-	-	-
Loans and advances to customers (net)	70,603,886	71,540,092	56,556,555	64,130,884	66,381,215	52,194,916
Balances due from banking institutions in the group	-	-	-	1,835,966	1,603,250	907,597
Investments in associates	-	-	-	-	2,285,324	2,109,324
Investments in subsidiary companies	-	-	-	-	-	-
Investments in joint ventures	-	-	-	-	-	-
Investment properties	-	-	-	-	-	-
Property, Plant and equipment	1,049,565	1,009,891	936,817	779,880	785,612	855,019
Prepaid lease rentals	7,344	7,375	7,469	7,344	7,375	7,469
Intangible assets	1,135,784	1,127,492	1,135,630	638,423	642,337	499,328
Deferred tax asset	245,731	257,652	361,081	241,808	241,808	348,945
Retirement benefit asset	-	-	-	-	-	-
Other assets	1,530,647	1,426,410	760,197	1,131,446	1,069,120	572,157
TOTAL ASSETS	103,283,469	108,348,593	84,866,696	96,350,488	101,771,705	78,832,919
LIABILITIES						
Balances due to Central Banks	-	-	-	-	-	-
Customer deposits	78,387,595	83,379,576	69,293,378	72,246,785	77,466,042	64,614,313
Deposits and balances due to local banking institutions	2,290,982	598,531	902,885	1,653,645	72,210	101,940
Deposits and balances due to foreign banking institutions	304,178	2,972,749	-	304,178	2,972,749	-
Other money market deposits	-	-	-	-	-	-
Borrowed funds	3,649,354	3,655,414	1,941,220	3,649,354	3,655,414	1,941,220
Balances due to banking institutions in the group	-	-	-	391,367	610,360	229,378
Tax payable	747,034	383,325	531,881	743,463	382,138	525,785
Dividends payable	-	-	-	-	-	-
Deferred tax liability	-	-	-	-	-	-
Retirement benefit liability	-	-	-	-	-	-
Other liabilities	-	-	-	-	-	-
TOTAL LIABILITIES	87,076,864	92,866,971	73,461,118	80,723,783	86,707,098	67,989,421
EQUITY						
Paid up / Assigned capital	2,714,921	2,714,921	1,974,488	2,714,921	2,714,921	1,974,488
Share premium / (discount)	1,208,242	1,208,799	-	1,208,242	1,208,799	-
Revaluation reserves	155,083	155,083	155,083	155,083	155,083	155,083
Retained earnings	10,998,777	10,095,639	8,514,864	10,716,585	9,836,433	8,301,005
Statutory loan reserves	654,469	687,343	534,852	600,112	637,174	508,790
Other Reserves	(659,374)	(444,881)	(348,720)	(311,222)	(30,787)	(194,592)
Proposed dividends	542,984	542,984	98,724	542,984	542,984	98,724
Capital grants	-	-	-	-	-	-
Non-controlling interests	15,715,102	14,960,088	10,929,291	15,626,705	15,064,607	10,843,498
TOTAL EQUITY	16,206,605	15,481,622	11,405,578	15,626,705	15,064,607	10,843,498
TOTAL LIABILITIES AND EQUITY	103,283,469	108,348,593	84,866,696	96,350,488	101,771,705	78,832,919

STATEMENT OF COMPREHENSIVE INCOME						
	31st Mar. 2013 Un-audited Shs '000	Group 31st Dec. 2012 Audited Shs '000	31st Mar. 2012 Un-audited Shs '000	31st Mar. 2013 Un-audited Shs '000	Bank 31st Dec. 2012 Audited Shs '000	31st Mar. 2012 Un-audited Shs '000
INTEREST INCOME						
Loans and advances	2,232,704	9,868,592	2,387,259	1,999,647	9,048,895	2,215,886
Government securities	490,392	1,161,118	246,571	440,924	1,081,419	237,616
Deposits and placements with banking institutions	33,396	412,324	49,050	21,061	290,551	41,189
Other interest income	18,488	25,540	13,625	18,488	25,540	8,534
TOTAL INTEREST INCOME	2,774,980	11,467,574	2,696,505	2,480,120	10,446,405	2,503,225
INTEREST EXPENSE						
Customer deposits	1,012,525	5,735,877	1,419,361	914,158	5,342,007	1,337,079
Deposits and placements from banking institutions	59,545	187,865	94,746	42,032	124,874	73,009
Other interest expenses	20,943	59,964	4,316	17,636	59,964	4,316
TOTAL INTEREST EXPENSE	1,093,013	5,983,706	1,518,423	973,826	5,526,845	1,414,404
NET INTEREST INCOME	1,681,967	5,483,868	1,178,082	1,506,294	4,919,560	1,088,821
OTHER OPERATING INCOME						
Fees and commissions on loans and advances	140,720	510,442	126,169	120,958	509,976	111,572
Other fees and commissions	98,181	542,670	126,119	75,169	429,763	113,682
Foreign exchange trading income	350,840	1,164,312	343,807	305,467	1,074,248	321,331
Dividend income	152,109	679,106	98,727	102,322	480,729	76,588
TOTAL NON-INTEREST INCOME	741,850	2,896,530	694,822	603,916	2,494,716	623,173
TOTAL OPERATING INCOME	2,423,817	8,380,398	1,872,904	2,110,210	7,414,276	1,711,994
OPERATING EXPENSES						
Loan loss provision	142,028	297,485	66,459	97,060	265,264	42,797
Staff costs	516,109	1,814,769	425,489	404,135	1,482,668	363,880
Directors' emoluments	40,971	163,882	29,339	28,112	109,886	23,321
Rental charges	61,867	169,317	36,989	33,193	101,037	28,405
Depreciation charge on property and equipment	61,658	204,471	44,308	50,624	173,730	38,900
Amortisation charges	44,587	113,461	15,348	38,125	97,213	13,592
Other operating expenses	317,942	1,099,046	221,966	254,541	873,529	192,743
TOTAL OPERATING EXPENSES	1,185,153	3,862,431	839,898	905,790	3,103,327	703,638
Profit before tax and exceptional items	1,238,664	4,517,967	1,033,006	1,204,420	4,310,949	1,008,356
Exceptional items	-	-	-	-	-	-
PROFIT AFTER EXCEPTIONAL ITEMS	1,238,664	4,517,967	1,033,006	1,204,420	4,310,949	1,008,356
Current tax	(370,882)	(1,561,372)	(309,963)	(361,326)	(1,470,111)	(302,507)
Deferred tax	-	80,199	-	-	67,024	-
PROFIT AFTER TAX AND EXCEPTIONAL ITEMS	867,782	3,036,794	723,043	843,094	2,907,862	705,849
Other Comprehensive Income:						
a. (Losses) / Gains from translating the financials statements of foreign operations	326,719	(335,010)	(75,044)	-	-	-
b. Fair value changes in available-for-sale financial assets	(280,435)	406,377	237,791	(280,435)	406,377	237,791
c. Revaluation surplus on property, plant and equipment	-	-	-	-	-	-
d. Share of comprehensive income of associates	-	-	-	-	-	-
e. Income tax relating to components of other comprehensive income	-	-	-	-	-	-
OTHER COMPREHENSIVE INCOME FOR THE YEAR NET OF TAX	46,284	71,367	162,747	(280,435)	406,377	237,791
TOTAL COMPREHENSIVE INCOME FOR THE YEAR	914,066	3,108,161	885,790	562,659	3,314,239	943,640
EARNINGS PER SHARE- BASIC & DILUTED	1.60	6.03	1.33	1.55	5.87	1.30
INTERIM DIVIDEND PER SHARE - PAID	-	-	-	-	-	-
FINAL DIVIDEND PER SHARE - DECLARED	-	1.00	-	-	1.00	-

OTHER DISCLOSURES

	31st Mar, 2013 Un-audited Shs '000	Group 31st Dec, 2012 Audited Shs '000	31st Mar, 2012 Un-audited Shs '000	31st Mar, 2013 Un-audited Shs '000	Bank 31st Dec, 2012 Audited Shs '000	31st Mar, 2012 Un-audited Shs '000
1. NON-PERFORMING LOANS AND ADVANCES						
(a) Gross Non-performing loans and advances	3,723,911	3,551,222	3,054,355	3,447,822	3,209,075	2,805,303
(b) Less Interest in Suspense	1,378,869	1,218,521	1,232,679	1,328,254	1,158,201	1,179,738
(c) TOTAL NON-PERFORMING LOANS AND ADVANCES (a-b)	2,345,043	2,332,701	1,821,676	2,119,568	2,050,874	1,625,565
(d) Less Loan Loss Provision	1,698,187	1,652,986	1,715,657	1,640,006	1,583,147	1,625,331
(e) NET NON-PERFORMING LOANS AND ADVANCES (c-d)	646,855	679,715	106,019	479,562	467,727	234
(f) Discounted Value of Securities	646,855	679,715	106,019	479,562	467,727	234
(g) NET NPIS EXPOSURE (e-f)	-	-	-	-	-	-
2. INSIDER LOANS AND ADVANCES						
(a) Directors, Shareholders and Associates	1,234,440	1,327,022	1,460,501	1,226,166	1,302,049	1,447,478
(b) Employees	654,681	664,900	614,418	640,144	620,288	594,521
(c) TOTAL INSIDER LOANS AND ADVANCES AND OTHER FACILITIES	1,889,121	1,991,922	2,074,920	1,866,310	1,922,337	2,041,999
3. OFF-BALANCE SHEET ITEMS						
(a) Letters of credit, guarantees, acceptances	14,831,233	14,112,010	12,766,790	14,707,739	13,486,049	12,648,910
(b) Forwards, Swaps and options	17,682,926	10,904,232	8,856,391	17,462,516	10,366,805	8,678,917
(c) Other contingent liabilities	-	-	-	-	-	-
(d) TOTAL CONTINGENT LIABILITIES	32,514,159	25,016,242	21,623,180	32,170,255	23,852,854	21,327,827
4. CAPITAL STRENGTH						
(a) Core capital	14,476,918	14,091,433	9,047,598	11,780,770	12,569,308	8,364,746
(b) Minimum Statutory Capital	1,000,000	1,000,000	700,000	1,000,000	1,000,000	700,000
(c) Excess (a-b)	13,476,918	13,091,433	8,347,598	10,780,770	11,569,308	7,664,746
(d) Supplementary Capital	693,240	726,566	571,742	638,883	677,140	548,756
(e) TOTAL CAPITAL (a+d)	15,170,157	14,817,999	9,619,341	12,419,653	13,246,448	8,913,502
(f) TOTAL RISK WEIGHTED ASSETS	86,552,245	86,627,510	65,958,286	81,972,858	80,565,229	61,350,838
(g) Core Capital / Total deposits liabilities	18.47%	16.90%	13.06%	16.34%	16.29%	13.00%
(h) Minimum statutory ratio	8.00%	8.00%	8.00%	8.00%	8.00%	8.00%
(i) Excess (g-h)	10.47%	8.90%	5.06%	8.34%	8.29%	5.00%
(j) Core Capital / Total risk weighted assets	16.73%	16.27%	13.72%	12.45%	15.60%	13.63%
(k) Minimum statutory ratio	8.00%	8.00%	8.00%	8.00%	8.00%	8.00%
(l) Excess (j-k)	8.73%	8.27%	5.72%	4.45%	7.60%	5.63%
(m) Total Capital / Total risk weighted assets	17.53%	17.11%	14.58%	13.12%	16.44%	14.53%
(n) Minimum statutory ratio	12.00%	12.00%	12.00%	12.00%	12.00%	12.00%
(o) Excess (m-n)	9.53%	9.11%	6.58%	1.12%	4.44%	2.53%
5. LIQUIDITY						
(a) Liquidity Ratio	32.79%	32.00%	33.94%	33.22%	35.38%	33.94%
(b) Minimum statutory ratio	20.00%	20.00%	20.00%	20.00%	20.00%	20.00%
(c) Excess (a-b)	12.79%	12.00%	13.94%	13.22%	15.38%	13.94%

The financial statements are extracts from the books of the institution. The complete set of quarterly financial statements, statutory and qualitative disclosures can be accessed on the institution's website www.nic-bank.com. They may also be accessed at the institution's head office located at NIC House, Masaba Road, Nairobi.

By order of the Board,

Livingstone Mwangi

Group Company Secretary